

STANDARD OPERATING PROCEDURE

Microfinance Management System

Branch Operations

SOP Title	Microfinance Management System Operations	SOP Number	MMS-SOP-001
Department	Branch Operations	Version	v1.0
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Prepared By		Approved By	
Owner	Operations Manager / Branch Manager	Classification	Internal Use Only
Supersedes	N/A (Initial Issue)	Next Review	06 March 2027

1. Purpose

This Standard Operating Procedure defines the end-to-end operational processes for the Microfinance Management System used by branch staff. The system supports community-based lending operations including 3-member joint guarantee group loans and progressive individual lending.

The purpose of this SOP is to:

- Standardize how branch officers register clients, process loan applications, manage repayments, and handle arrears using the system.
- Ensure consistent, auditable, and client-respectful service delivery across all branch operations.
- Define the responsibilities of each staff role when interacting with the system.
- Enforce human-in-the-loop controls so that the system supports staff decisions but does not replace human approval authority.
- Protect client data, ensure financial accuracy, and maintain a full audit trail for every transaction and decision.

2. Scope

This SOP applies to all staff operating within a small microfinance branch office (maximum 5 staff) that uses the Microfinance Management System for loan origination, repayment collection, arrears management, and finance operations.

This SOP covers the following operational areas:

- Client registration and Know Your Customer (KYC) intake
- Group loan formation and management (3-member joint guarantee)
- Loan application, underwriting, and credit decision recording
- Loan disbursement and repayment schedule issuance
- Repayment collection and receipt posting
- Arrears monitoring, collections follow-up, and escalation
- Individual loan graduation assessment
- Daily cash reconciliation and finance close
- Branch dashboard and KPI reporting

This SOP does not cover head office treasury operations, external audit procedures, or regulatory reporting obligations beyond branch-level controls. Where local regulatory requirements apply (for example, AML/CFT obligations under Sri Lanka's Microfinance Act No. 6 of 2016), staff must follow those requirements and seek professional compliance advice.

3. Roles and Responsibilities

The following roles are responsible for operating the Microfinance Management System. The system enforces maker-checker controls: the same person cannot both prepare and approve a critical action.

Role	Key Responsibilities	System Access Areas
Branch Manager / Operations Manager	Approves loans within delegation of authority. Chairs credit committee. Reviews arrears and cash reports. Handles exceptions and complaints. Signs off on daily cash reconciliation.	Credit Decision Recording, Branch Dashboard, Arrears Dashboard, Cash Reconciliation, Graduation Assessment
Loan Officer	Registers clients and captures KYC. Forms and trains 3-member groups. Prepares loan applications and cashflow worksheets. Submits applications for committee review. Conducts post-disbursement monitoring visits.	Client Registration, Group Loan Management, Loan Origination and Underwriting, Individual Loan Graduation
Collections and Recovery Officer	Monitors due dates and runs reminder schedule. Follows up missed payments and logs all contact attempts. Coordinates group support for group loans. Prepares arrears aging report for Manager. Records promise-to-pay commitments.	Arrears Monitoring and Collections, Repayment Collection and Posting
Finance Cashier	Receives cash repayments. Issues official receipts and updates passbook records. Posts transactions to the loan ledger. Prepares bank deposits. Performs end-of-day cash reconciliation. Checks disbursement readiness conditions.	Repayment Collection and Posting, Loan Disbursement and Scheduling, Daily Cash Reconciliation
Admin and Customer Service Officer	Manages walk-in reception and appointment queue. Maintains client database and physical filing. Sends system-generated reminders via approved templates. Routes complaints to the Manager. Prepares committee packs.	Client Registration (read), Reminder Logs, Complaint Register

Key control principle: No single staff member may both approve loans and handle or post cash receipts. All approvals, disbursements, and write-offs require documented human authorization. The system generates outputs for staff review and action; it does not make decisions on behalf of staff.

4. Definitions / Abbreviations

Term / Abbreviation	Definition
Borrower	A client who has received a loan from the institution.
Client ID	A unique identifier automatically generated by the system when a client record is saved for the first time.
Customer Level	A classification (0 to 5) assigned by the system based on data entered by officers. Levels determine the officer's next required action and which workflow applies.

Group Loan	A loan product where exactly 3 registered clients form a borrowing group. Each member receives the same loan amount and jointly guarantees the others' repayment.
Group ID	A unique identifier automatically assigned by the system when a new borrowing group is created.
Individual Loan	A loan product available to borrowers who have demonstrated reliable repayment history and completed an enhanced appraisal process.
Joint Guarantee	A signed agreement where each group member agrees to repay if another member fails to pay on the meeting day.
KYC	Know Your Customer. The process of collecting and verifying client identity, residence, and document evidence before loan processing.
Credit Memo	A structured document prepared by the Loan Officer summarizing the customer's background, cashflow, and risk observations for credit committee review.
Loan Officer (LO)	Staff responsible for client acquisition, loan processing, monitoring, and collections follow-up.
PAR30	Portfolio at Risk. The outstanding balance of all loans where any installment is more than 30 days overdue, expressed as a percentage of total outstanding portfolio.
PTP	Promise to Pay. A commitment recorded by the Collections Officer after a customer meeting, capturing the agreed amount and payment date.
DOA	Delegation of Authority. The documented limits within which each role may approve financial transactions or exceptions without escalation.
KFS	Key Facts Statement. A pre-disbursement disclosure document explaining the loan amount, interest rate, fees, total repayment amount, and schedule to the borrower.
Maker-Checker	A dual control whereby one staff member prepares a record or transaction and a separate authorized staff member reviews and approves it.
EOD	End of Day. The daily close process where cash is counted, reconciled against receipts and ledger postings, and signed off by the Branch Manager.
SOP	Standard Operating Procedure.
NIC	National Identity Card. The primary identification document used to verify client identity during registration.

5. Required Tools / Documents

System Modules

- M-01 Client Registration module
- M-02 Group Loan Management module
- M-03 Loan Origination and Underwriting module
- M-04 Credit Decision Recording module
- M-05 Loan Disbursement and Scheduling module

- M-06 Repayment Collection and Posting module
- M-07 Arrears Monitoring and Collections module
- M-08 Individual Loan Graduation module
- M-09 Daily Cash Reconciliation module
- M-10 Branch Dashboard and KPI Reporting module

Forms and Records

- Client Registration Form
- Group Registration Form and Group Guarantee Agreement
- Loan Application Form (Group Loan and Individual Loan versions)
- Cashflow Worksheet
- Key Facts Statement (KFS)
- Credit Committee Minutes Template
- Repayment Schedule
- Cash Receipt (pre-numbered)
- Daily Cash Reconciliation Form
- Arrears Follow-up Log
- Promise-to-Pay Register
- Disbursement Voucher and Authorization Checklist
- Loan File Completeness Checklist
- Walk-in Register
- Complaint Register and Complaint Closure Form

Reference Policies

- Microfinance Management System: Agent Roles, Responsibilities and System Features document (v1.1)
- Complete Microfinance Operating Manual (v1.0)
- Customer Journey Scenarios document (v1.0)
- Small Microfinance Branch Office Operations Manual (v1.0)
- Delegation of Authority (DOA) policy document
- Microfinance Act No. 6 of 2016 (Sri Lanka)

6. Procedure

The Microfinance Management System operates through ten functional modules. The procedures below describe the steps officers follow for each module. All customer-facing communication is conducted by officers in person. The system produces outputs for officer review and action.

6.1 Client Registration and KYC Intake (M-01)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Walk-in customer visits the branch. Admin greets the customer, confirms purpose of visit, and directs them to the correct staff member.	Admin and Customer Service Officer	Walk-in Register	Record name, NIC, phone, purpose, and staff served. All visits must be logged.
2	Loan Officer collects client details: full name, NIC or national ID, date of birth, phone, residential address, and nearest landmark.	Loan Officer	Client Registration Form	No blank fields permitted. Verify original ID documents. Duplicate NIC detection is enforced by the system.
3	Loan Officer uploads scanned copies of NIC, proof of address, and client photo to the client file in M-01.	Loan Officer	M-01 Client Registration, Document Scanner	Attach all KYC documents before saving. Draft save is available if a follow-up visit is required to complete the file.
4	System assigns a unique Client ID automatically on saving the completed registration record.	System (M-01)	Client Registration Record	If a duplicate NIC is detected the system displays a warning. The officer must investigate before creating a new record.
5	Admin files the physical documents in the client folder and records the file index entry.	Admin and Customer Service Officer	Client File Index, Filing Cabinet	Store files in locked cabinets. Access is restricted to Loan Officer, Branch Manager, and Admin only.

6.2 Group Loan Formation and Management (M-02)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Loan Officer selects exactly 3 registered clients from the client database to form a new borrowing group.	Loan Officer	M-02 Group Loan Management	The system prevents a client from being in more than one active group at the same time.
2	System assigns a unique Group ID and records the group formation date, meeting day, and meeting time.	System (M-02)	Group Register	The group meeting schedule must be confirmed before the Group ID is saved.

3	Loan Officer delivers group training covering rights, obligations, repayment schedule, and joint guarantee consequences.	Loan Officer	Training Attendance Sheet	Confirm understanding through Q&A. Record training date in the system. No group loan may proceed without a recorded training completion date.
4	All 3 members sign the Group Guarantee Agreement with an independent witness present.	Loan Officer and Branch Manager	Group Guarantee Agreement	Witness must be independent of the Loan Officer. Store signed original in the group file.
5	Loan Officer records the signed agreement status in M-02 and marks the group as ready for loan application.	Loan Officer	M-02 Group Loan Management	If any member has an active overdue balance the system displays a warning before allowing a new group application to proceed.

6.3 Loan Application and Underwriting (M-03)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Loan Officer creates a new loan application in M-03 linked to the Client ID (individual) or Group ID (group loan).	Loan Officer	M-03 Loan Origination and Underwriting	All fields are mandatory. Loan purpose, requested amount, proposed tenor, and repayment frequency must be entered.
2	Loan Officer completes the built-in cashflow worksheet entering monthly income, business expenses, household expenses, and net surplus.	Loan Officer	Cashflow Worksheet (M-03)	The system calculates and displays an affordability indicator comparing net surplus to proposed weekly repayment. Flag concerns for officer review.
3	Loan Officer verifies business activity through observation and reference checks. Notes are recorded in the application.	Loan Officer	Application Notes Field, Reference Check Notes	Use at least 2 references for individual loans. Conservative income estimates must be applied.
4	Loan Officer checks KYC document status: NIC, proof of address, business evidence, and group guarantee are each	Loan Officer	KYC Checklist (M-03)	The application cannot be submitted for review if mandatory KYC items are marked pending. Officer must collect missing items before submission.

	marked as received or pending.			
5	Loan Officer writes the credit memo assessment summary in the designated text field and sets the application status to Submitted for Review.	Loan Officer	Credit Memo Field (M-03)	The Branch Manager receives an automatic notification when an application is submitted for review.

6.4 Credit Decision Recording (M-04)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Branch Manager opens the applications queue in M-04 which shows all submissions with status Submitted for Review sorted by submission date.	Branch Manager	M-04 Credit Decision Recording	Review all items in submission date order. No application may be approved without a complete file.
2	Branch Manager reviews the full application pack: client profile, cashflow worksheet, KYC checklist status, credit memo, and loan history.	Branch Manager	M-04 Application Pack View	At least 2 committee members must be present for decisions above the configurable approval threshold.
3	Branch Manager records the credit decision: Approved, Declined, or Conditional Approval. The approved amount, approved tenor, and any conditions are entered.	Branch Manager	M-04 Decision Form	Decision rationale is a required field. The record cannot be saved without it. The Loan Officer who submitted the application cannot record the approval decision (maker-checker enforced by system).
4	Upon approval, the system automatically generates a repayment schedule which becomes immediately available to the Finance Cashier.	System (M-04)	Repayment Schedule	For conditional approvals, all conditions must be cleared before disbursement is permitted.

5	For declined applications, the Loan Officer is notified through the system to communicate the outcome to the customer in person.	Loan Officer	Decline Notification, Decline Reason Record	Decline reason must be recorded. Do not communicate decline reasons that could cause distress or reputational harm.
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6.5 Loan Disbursement and Schedule Issuance (M-05)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Finance Cashier opens the disbursement screen in M-05 which shows all approved loans pending disbursement with conditions status visible.	Finance Cashier	M-05 Loan Disbursement and Scheduling	The system blocks disbursement if any conditional approval conditions remain uncleared. Cashier must not override this block.
2	Finance Cashier verifies borrower identity at the counter before disbursement. Loan Officer explains the KFS to the borrower.	Finance Cashier and Loan Officer	ID Verification Log, KFS (signed copy)	No proxy disbursement is permitted. Borrower must be present in person.
3	Loan agreement and guarantee agreement are signed by the borrower and witnessed. Finance Cashier confirms all documents are signed.	Finance Cashier and Witness	Signed Loan Pack	Witness cannot be the Loan Officer managing that borrower's portfolio.
4	Finance Cashier disburses funds (bank transfer preferred) and posts the disbursement to the loan ledger on the same day.	Finance Cashier and Branch Manager	Disbursement Voucher, Posting Report	Dual authorization required for cash disbursements. All disbursement transactions are immutable after posting. Reversals are processed as new linked transactions.
5	System generates the customer repayment schedule and passbook entry record. Finance	Finance Cashier	Repayment Schedule, Passbook Entry Record	Confirm the first repayment date and remind the borrower of the payment location and receipt requirement.

	Cashier issues the passbook update to the borrower.			
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6.6 Repayment Collection and Receipt Posting (M-06)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Customer arrives at the branch counter. Finance Cashier confirms the customer's identity and loan account.	Finance Cashier	Loan ID, Passbook or NIC	Prevent impersonation. Confirm the correct loan account before accepting any payment.
2	Finance Cashier counts cash visibly in front of the customer, posts the repayment against the correct loan account and installment in M-06.	Finance Cashier	M-06 Repayment Collection and Posting	The system assigns a sequential receipt number to every posted payment. No payment may be accepted without a receipt being issued.
3	Finance Cashier issues the official receipt and updates the passbook entry for the customer.	Finance Cashier	Cash Receipt (sequential), Passbook Entry	Partial payments are supported. The remaining balance is displayed. Overpayments are posted to the next installment with officer confirmation.
4	At close of the collection window, Collections Officer updates the arrears and due list against the day's postings.	Collections and Recovery Officer	Daily Collection Summary, Arrears Follow-up List	Cross-check against cashier posting totals and receipt series to confirm reconciliation.
5	Finance Cashier runs end-of-day reconciliation: cash count is compared to receipts and ledger postings. Branch Manager reviews and signs off.	Finance Cashier and Branch Manager	Daily Cash Reconciliation Form	Both Cashier and Manager must sign. Any differences must be investigated immediately and not suppressed.

6.7 Arrears Monitoring and Collections (M-07)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Collections Officer reviews the Arrears	Collections and Recovery Officer	M-07 Arrears Dashboard	The dashboard shows client name, Group ID (if

	Dashboard in M-07 daily. Overdue loans are grouped into buckets: 1 to 7 days, 8 to 30 days, 31 to 90 days, and over 90 days.			group loan), days overdue, total overdue amount, and last contact date.
2	For loans 1 to 7 days past due, Collections Officer contacts the borrower within 24 hours. The contact method, date, and outcome are logged in the system.	Collections and Recovery Officer	Arrears Follow-up Log (M-07)	Record reason and promise-to-pay plan. No harassment or threats are permitted. Document every contact attempt whether or not the customer was reached.
3	For group loans, Collections Officer records any group support activations (joint guarantee) in the group joint view. Individual communications are kept private.	Collections and Recovery Officer	Group Joint View (M-07)	Do not publicly identify which group member has defaulted. All communications are individual and private.
4	For loans 8 days or more past due, Collections Officer conducts a home or office visit and proposes a written repayment plan. Branch Manager is notified.	Collections and Recovery Officer and Branch Manager	Escalation Visit Report, Signed Repayment Plan	Manager must action escalation alerts within 24 hours. Rescheduling requires Manager approval.
5	After 3 broken promises or 30 or more days overdue, the system prompts escalation to Branch Manager. Manager chairs the weekly arrears review and assigns actions.	Branch Manager	Arrears Meeting Minutes, Action List	Track all commitments to closure. No case may be held in escalation without a documented action and owner.

6.8 Individual Loan Graduation Assessment (M-08)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	System automatically flags a client as a Graduation Candidate when they	System (M-08)	Graduation Candidate Badge on Client Profile	The Graduation Candidate badge is visible to the Loan Officer and Branch Manager

	meet the configured graduation rule (for example, completed at least 1 cycle with zero or minimal late payments).			only. Clients are not informed until the officer has confirmed eligibility.
2	Loan Officer opens the Graduation Assessment form in M-08 which is pre-filled with the client's existing loan and repayment history.	Loan Officer	M-08 Individual Loan Graduation, Graduation Assessment Form	If the client does not yet qualify the system displays a gap notification showing exactly what is required.
3	Loan Officer completes the additional appraisal fields: household income, other debts, references, and business verification notes.	Loan Officer	Individual Appraisal Form, Reference Notes	Verify all other debts. Obtain a guarantor if policy requires. Guarantor must not be from the same household.
4	Completed graduation assessment is submitted through the same credit committee workflow as a standard application.	Loan Officer and Branch Manager	Credit Committee Minutes, Decision Log	At least 2-person committee approval is required. No shortcuts to the standard approval process are permitted.
5	Upon approval, the system creates an Individual Loan type with its own repayment schedule. The graduation event is recorded in the client's history with date and approving officer.	System (M-08) and Finance Cashier	Graduation Record, Repayment Schedule	Disbursement follows the standard disbursement SOP (Section 6.5 of this document).

6.9 Daily Cash Reconciliation and Finance Close (M-09)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Finance Cashier opens the Daily Cash Summary screen in M-09 which shows opening cash balance, total repayments received,	Finance Cashier	M-09 Daily Cash Reconciliation	Review this screen at start and end of each cash session.

	total disbursements made, and calculated closing cash balance.			
2	Finance Cashier counts physical cash by denomination, enters the total in the Physical Cash Count field. System compares this to the calculated closing balance and highlights any variance.	Finance Cashier	Branch Cash Count Sheet, M-09 Reconciliation Screen	All denominations must be listed. Discrepancies must not be suppressed or hidden.
3	Finance Cashier enters an explanation in the Reconciliation Note field for any variance detected. Variance remains visible in the audit log regardless of the explanation.	Finance Cashier	Reconciliation Note Field (M-09)	Even small variances require a note. The system does not allow a variance to be cleared without a recorded explanation.
4	Branch Manager reviews the full daily transaction list (all receipts and disbursements) and provides digital sign-off with timestamped approval.	Branch Manager	M-09 EOD Sign-off	Once the Manager signs off, day records are locked and cannot be edited. If the Manager is out of office, the delegation option must be logged.
5	Finance Cashier prepares the bank deposit, records the deposit slip reference number in M-09, and exports the reconciliation to PDF or Excel for head office submission.	Finance Cashier	Bank Deposit Slip, M-09 Export	Bank deposit must be made per the cash-on-hand limit policy. Deposit slip reference must be entered before closing the day session.

6.10 Branch Dashboard and KPI Reporting (M-10)

Step	Action	Responsible	Tools / Records	Notes / Controls
1	Branch Manager opens M-10 at the start of each week to review the real-time summary dashboard: total active loans,	Branch Manager	M-10 Branch Dashboard	Review PAR30 as both a count and a percentage of total portfolio. Compare to prior week to identify trends.

	outstanding portfolio value, active clients, active groups, and applications pending decision.			
2	Branch Manager reviews the repayment rate metric showing the percentage of installments due in the current week and month that have been collected.	Branch Manager	M-10 KPI Dashboard	If the repayment rate falls below the 95% target, escalate to the operations review meeting immediately.
3	Branch Manager reviews the overdue trend chart showing PAR30 over the past 12 weeks to surface portfolio improvement or deterioration.	Branch Manager	M-10 PAR30 Trend Chart	Use the filter controls (date range, loan type, loan cycle) to isolate specific areas of concern.
4	Branch Manager reviews the staff activity summary per team member for the current week: applications submitted, collections posted, and contact attempts logged.	Branch Manager	M-10 Staff Activity Summary	Use this data to identify coaching needs and workload distribution issues.
5	Branch Manager exports the weekly KPI pack to PDF or Excel and annotates it before distributing to head office. The system generates an automatic weekly KPI report every Monday morning.	Branch Manager	M-10 KPI Export, Weekly KPI Report	The automatic Monday report must be reviewed and annotated before distribution. Do not distribute the raw system export without Manager review.

7. Exceptions / Escalation

When the normal procedure cannot be followed due to incomplete data, unusual circumstances, or a policy threshold being exceeded, staff must escalate rather than proceed with a best-guess action. The system defaults to flagging for manual review when required fields are missing or when confidence in a classification is below the configured threshold.

The following table defines how common exceptions must be handled:

Exception / Situation	Initial Owner	Escalation Path	Required Record
Incomplete KYC at time of application submission	Loan Officer	Application returned to Draft status. Officer collects missing items before resubmission.	KYC Checklist with pending items noted
Duplicate NIC detected during registration	Loan Officer	Investigate before creating a new record. Report to Branch Manager if suspected fraud.	Walk-in Register note; Manager briefing record
Overdue group member when new group application is attempted	Loan Officer	System displays warning. Officer must resolve the overdue position or seek Manager approval before proceeding.	Manager approval note
Cash variance at end of day reconciliation	Finance Cashier	Investigate immediately. Report to Branch Manager. Variance must not be suppressed.	Reconciliation Note; Manager sign-off
Customer reports payment made but no posting found	Finance Cashier or Loan Officer	Flag immediately to Branch Manager as priority exception. Do not dismiss the query.	Exception Alert record; Manager investigation record
Three broken promises or 30 or more days overdue	Collections and Recovery Officer	Automatic system escalation to Branch Manager queue. Manager chairs action review.	Arrears escalation record; Manager action note
Rescheduling or restructuring request received	Collections and Recovery Officer	Officer gathers evidence and updated cashflow. Manager approves within DOA. Exceptions above DOA go to Owner or Director.	Reschedule Request Form; Approval Memo
Conditional approval conditions not cleared before disbursement	Finance Cashier	System blocks disbursement. Cashier must not override. Refer to Branch Manager to resolve conditions.	Conditions Status Record
Policy waiver or unusual borrower profile identified	Loan Officer	Do not classify or proceed. Route to Branch Manager for review.	Manual Review flag; Manager decision record
Suspected fraud or financial irregularity	Any staff member	Secure evidence immediately. Report to Branch Manager. Manager reports to Owner or Director. Suspend access if required.	Incident Report; Investigation File
Loan approval required above Branch Manager DOA	Branch Manager	Escalate to Owner or Director with full documentation. No approval without documented authority.	DOA Threshold Record; Owner or Director Approval

General escalation rule: if a situation is not covered by this SOP or the system presents an unexpected result, do not proceed. Refer to the Branch Manager. The Branch Manager escalates to the Owner or Director for matters outside their DOA.

8. Records and Retention

All records created through the Microfinance Management System and associated paper documents must be retained in accordance with the schedule below. Records may not be deleted. Corrections are recorded as new linked transactions or amendment notes with a timestamp and the name of the staff member making the change.

Digital records must be backed up at least weekly to a secure offsite or cloud location. Physical files must be stored in locked, access-controlled cabinets. Files must not be removed from the branch without a file movement log entry signed by the staff member and the Admin Officer.

Record Type	Where Stored	Retention Period	Responsible
Client registration records and KYC documents	System (M-01) and locked physical file cabinet	7 years after client relationship ends	Admin and Loan Officer
Group registration forms and guarantee agreements	System (M-02) and locked group file folder	7 years after final group loan closure	Admin and Loan Officer
Loan application packs (application, cashflow, credit memo)	System (M-03) and physical loan file	7 years after loan closure	Admin and Loan Officer
Credit committee minutes and decision records	System (M-04) and physical credit committee register	7 years	Branch Manager
Disbursement vouchers and signed loan packs	System (M-05) and physical loan file	7 years after loan closure	Finance Cashier
Cash receipts and repayment posting records	System (M-06) and daily cash folder	7 years	Finance Cashier
Arrears follow-up logs and promise-to-pay records	System (M-07) and physical arrears file	7 years after case closure	Collections Officer
Graduation assessment records	System (M-08) and individual loan file	7 years after loan closure	Loan Officer
Daily cash reconciliation forms and bank deposit logs	System (M-09) and dated daily pack folder	7 years	Finance Cashier
KPI export reports and branch dashboard exports	System (M-10) and head office submission folder	5 years	Branch Manager
Complaint forms, investigation reports, and closure records	Complaint Register and compliance archive	5 years after complaint closure	Admin and Branch Manager
Incident and fraud reports	Incident Register and investigation file	7 years	Branch Manager
Staff HR files	HR secure storage	5 years after staff exit	Branch Manager

When a record reaches the end of its retention period, disposal must be authorized in writing by the Branch Manager. Sensitive documents must be shredded; digital records must be permanently deleted with a confirmed deletion log entry.

9. References

- 1. Microfinance Management System: Agent Roles, Responsibilities and System Features, v1.1, 06 March 2026 (Internal)
- 2. Complete Microfinance Operating Manual, v1.0, 06 March 2026 (Internal)
- 3. Customer Journey Scenarios: Microfinance Office (Walk-In Loans and Repayments), v1.0, 06 March 2026 (Internal)
- 4. Small Microfinance Branch Office Operations Manual, v1.0, 06 March 2026 (Internal)
- 5. MVP Agent Set: Customer Classification and Chat Triage, v1.0, 06 March 2026 (Internal)
- 6. Microfinance Act No. 6 of 2016, Government of Sri Lanka
- 7. Central Bank of Sri Lanka: Directions, Circulars and Guidelines on Micro Finance (including Direction No. 1 of 2025 on Credit Risk Management). Verify latest version before reliance.
- 8. Delegation of Authority (DOA) Policy (branch-level document; version current at date of this SOP)
- 9. SOP Template, Internal Document Control Standard

10. Revision History

Version	Date	Summary of Changes	Approved By
v1.0	06 March 2026	Initial issue. Full SOP covering all 10 system modules, roles, escalation procedures, and records retention schedule.	[Insert Name]

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